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OZARK NATIONAL LIFE*



Mutual Funds Offered through
N.I.S. FINANCIAL SERVICES, INC.†

Offering The Balanced Program®

Office of Clearance and Settlement
Division of Trading and Markets
Securities and Exchange Commission
100 F Street, NE
Washington, DC 20549-7010

July 14th, 2021

RE: Transfer agents' to mutual funds use of Medallion Signature Guarantees under the Securities Transfer Agents Medallion Program & File Number S7-27-15

Mr. Saltzburg,

I appreciate you taking time out of your day this week to discuss our concerns regarding the use of signature guarantees, particularly Medallion Signature Guarantees in the mutual fund industry. Much of the information I have provided below in the "overview" section will obviously be well known to you but I have included it to demonstrate our understanding of current regulations in case we have any misconceptions.

Our firm, N.I.S. Financial Services, Inc., is a small introducing Broker/Dealer that does not carry securities. Our core demographic is composed of small individual investors primarily from the lower half of the middle class residing in geographic areas with lower population densities. Our primary function in the marketplace is to work with this underserved group to help them build one more source of capital in retirement through a steady stream of systematic investments. Over the last fifty years NIS has helped hundreds of thousands of investors take steps to prepare for retirement and our firm is the broker of record for more than \$3.9 billion in assets despite having an average account size of less than \$20,000.

As we discussed, the subject matter of this letter does not significantly impact our firm's operations and is certainly not our area of expertise. However, we have seen our clients experience a great deal of inefficiency and frustration in the marketplace and appreciate the opportunity to advocate on their behalf.

Overview

The Medallion Signature Guarantee was created by the Securities Transfer Agents Medallion Program ("STAMP") to provide heightened protection and a broader reaching guarantee in relation to stock transfers. A Medallion Guarantee is used only in situations involving the sale or transfer of securities. The Medallion indicates that the financial institution named has been defined by SEC Rule 17-Ad15 as an eligible Guarantor and has met all STAMP Program qualifications, including submission of a STAMP Surety Bond. By a rule effective in January 1992, the Securities and Exchange Commission (SEC) authorized stock transfer agents to reject guarantees if the guarantor is not part of a signature guarantee program such as STAMP.

The mutual fund industry has expanded the use of Medallion Guarantees. Unfortunately, we believe many mutual fund companies have disregarded the rules regarding the appropriate use of the Medallion Guarantee. For example, many of these companies require a Medallion Guarantee on account opening or address change documents, or requests to add telephone and online purchase and/or

redemption capabilities – none of which relate to a specific transfer of securities and appear to be an inappropriate use of the Medallion Guarantee.

Stock transfer agents process the transfers of stock from one owner to another for corporations. The transfer agent does not have direct contact with the owner when the stock is purchased. The Medallion Guarantee guarantees that the transfer document is signed by the person with authority to transfer the stock. In contrast, the owner of a mutual fund has opened the account directly with the fund or an agent for the fund.

The use of a Medallion Guarantee potentially exposes the member financial institution to significant loss. As a result, participation in the STAMP program tends to be limited to large financial institutions which severely restricts investors' access to their accounts if they reside in less geographically concentrated areas away from large financial and commercial centers.

Additionally, those financial institutions that do participate in the STAMP program have begun to refuse to place a Medallion Guarantee on many mutual fund documents. They view such action to be an inappropriate administration of the STAMP program and therefore contrary to the provisions of the Indemnity Agreement signed by all financial institutions that are members of the Program.

All of this harms our clients. Many brokers like us serve "Mom & Pop" investors who are caught in the middle when mutual fund transfer agents refuse to execute transactions until the client obtains a Medallion Guarantee that is both scarce and inappropriately required.

Comments in Response to File Number S7-27-15

72. Are any of the current transfer agent rules outdated or obsolete? If so, which ones and why? Do commenters believe that any such outdated or obsolete portions of the transfer agent rules create confusion or inefficiency among transfer agents, issuers, investors, and other market participants? Why or why not? Please provide a full explanation.

17 CFR § 240.17Ad-15(a)(3) defines a Guarantee as follows: "Guarantee means a guarantee of the signature of the person endorsing a certificated security, or originating an instruction to transfer ownership of a security or instructions concerning transfer of securities." This rule was written in 1992 prior to the widespread use of certificate-less systems, electronic signatures, and online trading platforms. Our understanding is that the original intent of the rule was to allow transfer agents to protect themselves during the transfer of ownership of physical certificates by ensuring they were appropriately endorsed and processed. With the proliferation of technology and electronic systems the definition of a "Guarantee" under this section appears to have become outdated and ambiguous which has led to wide disparities in the use of guarantees among mutual fund transfer agencies. As further discussed in responses below, many of these uses appear to be well beyond the original intent of the rule, but have been "shoe-horned" into existence by legal and compliance departments around the country under the phrase, "or instructions concerning transfer of securities." This has led to both confusion and inefficiency for investors in the marketplace. As mentioned, mutual fund transfer agents' rules regarding the use of guarantees vary widely, are not easily discernable, and often present investors with a complicated maze of instructions to process basic transactions. Additionally, guarantees are not often readily accessible, particularly for the most vulnerable investors that have less familiarity with and/or access to the financial institutions that provide these services. Access to Medallion Signature Guarantees is often scarce and very costly. For many of our clients the closest access is well over 100 miles away and costs in excess of \$150.

73. Should the Commission eliminate or amend any of the definitions in the transfer agent rules? If so, which ones and why? For example, should the Commission eliminate references to "control book," "processing," "process" deadlines, and "outside registrar"? Are there any other definitions which should be amended? Why and how? Please provide a full explanation

We respectfully submit that the Commission consider updating the definition of “Guarantee” in 17 CFR § 240.17Ad-15(a)(3) to clarify the use of guarantees in a certificate-less, electronic, environment. We would suggest that an update should include a clarification as to whether the definition was intended to be limited to the processing of physical securities. If the Commission prefers to allow the use of signature guarantees in electronic transactions, we would suggest that the phrase “instruction to transfer ownership of a security” be clarified as to whether this includes the redemption of shares of an open ended mutual fund company or the transfer of cash after a security has been sold. Additionally, if the Commission prefers to allow the use of guarantees in electronic transactions, we would suggest that the phrase, “or instructions concerning transfer of securities” be limited or clarified as this phrase appears to be used by mutual fund transfer agents to require guarantees in many areas that do not directly relate to the transfer of securities, but, when broadly defined, could theoretically be considered part of the *instructions* to sell or transfer securities (e.g. changing address information, adding banking information, etc.).

84. What are the current best practices with regard to accepting signature guarantees, if any? Should the Commission amend Rule 17Ad-15 to require transfer agents to document in writing their procedures and requirements for accepting signature guarantees? Why or why not? Should the Commission require transfer agents to establish and comply with certain minimum procedures and requirements related to accepting signature guarantees? Why or why not? If so, what procedures and requirements should be required, and why? Please provide a full explanation.

We do not have insight into “the current best practices with regard to accepting signature guarantees.” However, we would respectfully submit that transfer agents should both be required to document in writing their procedures and requirements for accepting signature guarantees, and all instances *when* a signature guarantee is required. Current mutual fund transfer agent guidelines are difficult to discern, confusing, and unevenly applied. This harms investors. We have seen many times where an investor has delayed action or decided not to take an action they would have otherwise taken due to the complexity, cost, or logistic burden of obtaining a signature guarantee. Our firm recently requested a list or report of all instances where a signature guarantee would be required from a particular mutual fund partner with whom we have a substantial & long-term relationship. Their response was that their transfer agent was unable to provide such a list, that we should refer to the instructions in the related transaction documents, and that exceptions could be made on a case-by-case basis (in the interest of full-disclosure, other mutual fund transfer agents did have guidelines more readily available). Additionally, our firm has been working to create a list of signature guarantee requirements among all of our mutual fund partners and have found a wide disparity of policies and requirements, even among different mutual fund companies using the same transfer agents. Requiring documented policies and requirements would ensure transfer agents have consistent guidelines for all customers and give them the ability to efficiently provide investors with useful information on how to better navigate the financial marketplace.

Finally, we would request that the Commission consider requiring transfer agents to establish and comply with certain minimum procedures and requirements related to accepting signature guarantees, in particular, when the use of a guarantee is appropriate. The following is a list of transactions (in addition to the actual transfer of securities) from various mutual fund transfer agents that could require a signature guarantee (depending on the mutual fund company):

- Change of Address
- New Account Openings
- Adding telephone and online purchase and/or redemption capabilities
- Addition of a Bank Account associated with a Mutual Fund Account

- Redemption of Securities with the proceeds payable via ACH/Wire to the Bank Account on File
- Redemption of Securities with the proceeds payable via Check to the Account Owner
- Redemptions payable to named beneficiaries after the death of an Account owner.
- Rollover of funds from an employer sponsored plan to an IRA with consistent ownership
- Rollover/transfer of funds from within an IRA (i.e. consistent ownership) from one mutual fund company to another mutual fund company
- Transfers of accounts to another firm with consistent ownership.
- Systematic withdrawals requested by the account owner but payable to a party other than the account owner

Many, if not all, of these appear to be beyond the intent of the rule. Establishing minimum procedures regarding when a signature guarantee is appropriate would help standardize the use of signature guarantees and would simplify the process for investors. More importantly, the current rule has essentially outsourced a piece of the market infrastructure to companies like Kemark that largely operate outside of the Commission's purview but have de facto, SRO-like, authority over this small area of the market. It would appear that these entities have a significant conflict of interest when it comes to the enforcement of their guidelines as the expanded use of guarantees also means expanded revenue for the companies. During a call with a Kemark representative we noted an apparent disinterest in the potential over-use of the Medallion Guarantee and a lack of functional oversight. Establishing minimum procedures and requirements regarding the appropriate use of signature guarantees would help protect investors by providing the Commission with a clearer role in the oversight of this area.

Conclusion & Summary

Our firm is sensitive to the overall goal of the signature guarantee process, which is to protect investors and other marketplace participants from fraud. However, we believe that signature guarantees have become over-used and allow mutual fund transfer agents the opportunity to inappropriately shift their diligence costs onto investors. Transfer agents are not unique among financial institutions when it comes to the burden of preventing fraud. Other financial institutions: banks, credit unions, insurance companies, etc. have found ways to appropriately protect the flow of client assets (electronic or otherwise) without the use of these archaic and burdensome instruments. We would respectfully submit that investors are bearing the cost of transfer agents' inability to develop similar systems. Additionally, and more troubling, it seems a bit too convenient that the burdens these requirements place on investors have the side-effect of discouraging and slowing the flow of funds *out* of a mutual fund company.

Again, I very much appreciate the opportunity to advocate on our clients' behalf and your willingness to listen. Although we have no expectations of any immediate remedy to this complex issue we are grateful to the Commission for considering the impact this matter has on investors.

Sincerely,

J. Brent Burkholder



CEO & Treasurer, N.I.S. Financial Services, Inc.